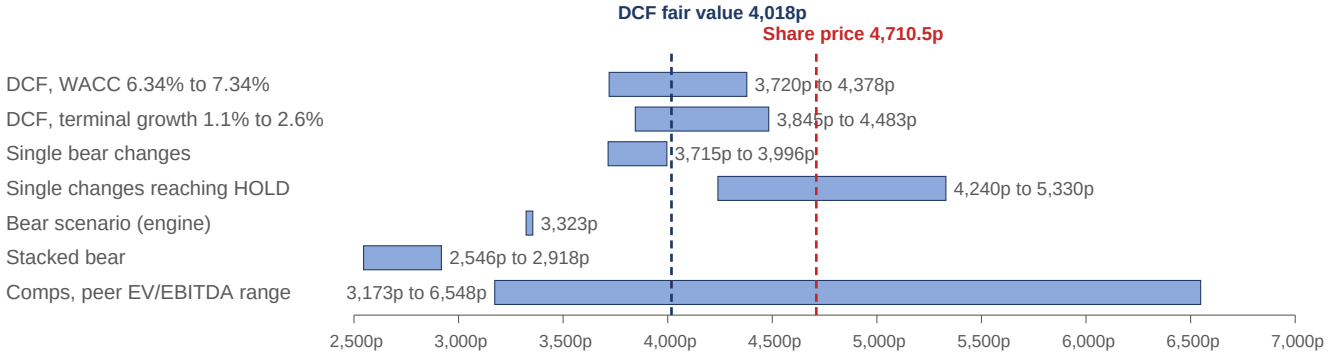
Unilever PLC (LSE: ULVR)

SELL	Desk rating: SELL, moderate conviction (PM review pending)	Fair value 4,018p	Share price 4,710.5p (13 Oct 2026 close)	Upside -14.7%	Bear case 3,323p

Memo of 14 October 2026. Desk rule: BUY at +15% or more, SELL at -10% or worse. **HOLD starts at 4,239p, BUY at 5,417p.** Per-share values in pence (GBp); totals in EUR m (Unilever reports in euros), converted at EUR 1.18190 per GBP; 2,154.3m shares.



Thesis

- **The price already assumes a best case for the business that remains.** At 4,710.5p the market pays 14.7x EBITDA for Unilever without Foods, against a peer median of 11.9x and a DCF exit multiple of 11.4x. The DCF (4,018p) and the comps median (3,918p) agree within 2.6%.
- **A third of the value is the McCormick deal at today's price, before tax.** The Foods consideration is 1,334p a share. McCormick is at USD 44.64, 23% below the USD 57.84 deal reference, and the tax on the USD 15.7bn cash is MISSING (each EUR 1bn = 39.3p).
- **Moderate conviction.** The SELL is 222p (4.7 points) from HOLD. Three single changes reach HOLD: Unilever's own weekly beta 0.54 (5,330p), McCormick back at its deal price (4,249p), or a margin of 18.8% (4,240p). No sourced test reaches BUY.

Valuation: a sum of the parts

In plain words: we value Unilever as if Foods were already sold. (1) A DCF of the business that remains (Home and Personal Care, without the Foods perimeter), less the outside shareholders' share; (2) plus what McCormick pays for Foods, at today's McCormick price; (3) plus Unilever's stakes and joint ventures; (4) less net debt and other claims.

- **Growth (EUR, ex-Foods):** base sales EUR 39,803m; +0.5% in FY26, then 1.6% a year FY27-30 (USG less currency drag).
- **Margin:** 17.7% flat (ex-Foods underlying 18.8% less 1.1% recurring restructuring). Savings flow-through: none (no programme modelled). Tax 26.0%; capex 3.15%, D&A 2.6% of sales.
- **WACC 6.84%:** German Bund 3.18%, beta 0.8844, ERP 5.0%, cost of equity 7.60%; cost of debt 3.88% (Bund + 0.70% single-A spread); debt weight 16.13%.
- **Terminal:** growth 1.6%, RONIC 17.8%. Terminal value is 76.6% of EV (FLAG, limit 75%); exit 11.4x EBITDA.

Bridge (EUR m, 31 Dec 2025): EV 95,467 - minorities 10,200 (10.684% of EV) - net debt 23,076 (leases inside) - stranded-cost restructuring 500 + stakes and JVs 7,229 + Foods consideration 33,955 = 102,876; rolled to 102,302 at 14 Oct 2026 = **EUR 47.49 = 4,018p**.

Where the 4,018p comes from	Pence	Share
DCF of the remaining business (EV 3,972p) less minorities (-424p)	3,547	88%
Foods consideration (McCormick deal at today's price)	1,334	33%
JVs 161p, TMICC stake 76p, investments/associates/Magnum balance 59p	296	7%
Net debt -960p, restructuring -21p, dividends since Dec -119p, buyback -59p	-1,159	-29%

Value per share (pence)	g 1.1%	g 1.6%	g 2.1%	g 2.6%
WACC 5.84%	4,535	4,824	5,189	5,665
WACC 6.34%	4,157	4,378	4,651	4,995
WACC 6.84%	3,845	**4,018**	4,226	4,483
WACC 7.34%	3,583	3,720	3,883	4,079
WACC 7.84%	3,360	3,470	3,599	3,751

Comps: peer median EV/EBITDA 11.9x (7 HPC peers) gives 3,173p / 3,918p / 6,548p; four peers use Yahoo data, so medium-low weight.

MISSING, not in the value: tax on the Foods cash (39.3p per EUR 1bn; a 25% stress, EUR 3,507m, is 138p); Foods cash flows from 1 Jan 2026 to closing (indicator only, about EUR 2.9bn, about 113p). Receiving the consideration at closing (mid-2027) costs 15p to 68p.

Engine fixes in this run: the H1 2026 buyback (EUR 1,507m) is now deducted, and run-date prices (Foods, TMICC) are no longer grown at the cost of equity (-84p).

Fundamentals

- **Volume-light euro growth:** USG 4.5%, 9.0%, 7.0%, 4.2%, 3.5% (FY21-25), but turnover fell 3.8% in euros in FY25 after currency. The remaining company has 62% of turnover in emerging markets.
- **Margins at a peak:** underlying 18.4%, 16.1%, 17.6%, 19.4%, 20.0%; restructuring recurs at 0.8-1.4% of turnover every year.
- **Returns solid:** underlying ROIC 19.0% (FY25); 17.8% after restructuring. The ex-Foods ROIC is not disclosed.
- **Mix:** Personal Care 22.6% margin, Beauty & Wellbeing 19.2%, Home Care 14.9%; the Foods perimeter sold earns 24.3%, so the remaining company earns 18.8%.

Risks

- **Beta:** 0.8844 bottom-up (Damodaran global Household Products 0.7741, relevered at D/E 0.1924). Unilever's own regressions vs the FTSE 100 give 0.43 (2y weekly), 0.54 (5y weekly), 0.91 (5y monthly), R-squared 0.08-0.30. HOLD needs 0.809. This is the swing factor.
- **Volatility:** 22.4% (1 year) and 19.2% (5 years) vs 11.6% and 12.5% for the FTSE 100. McCormick, which sets a third of the value, has 30.5%.
- **Drawdown:** -25.5% over 5 years, 5,470.6p (24 Feb 2026) to 4,077.7p (4 Jun 2026), dividend-adjusted, spanning the Foods announcement.
- **Leverage:** net debt / underlying EBITDA 2.03x (Dec 2025) and 2.27x (Jun 2026, after the buyback) vs a c.2x target; rated A+/A1. The WACC uses pre-sale leverage (not sized).

Bear case and our response

Every sourced bear test stays SELL. Values in pence per share, impact vs 4,018p.

Challenge	Test: value (impact)	Response
1. Foods consideration worth less	Tax 25% of cash: 3,880p (-138p); McCormick -1 s.d. (USD 33.15): 3,816p (-201p); deal fails: +62p to +97p (upside)	PM to respond
2. 17.7% margin is a peak	16.2%: 3,715p (-303p)	PM to respond
3. HUL minorities at market	3,813p (-205p) to 3,731p (-287p)	PM to respond
4. Growth and terminal value	Terminal growth 1.1%: 3,832p (-186p); RONIC = WACC: 3,587p (-430p)	PM to respond
5. Discount rate	Bear with JVs at Ke + 1 pt: 3,300p (-23p); beta 0.9998: 3,725p (-293p)	PM to respond

Stacked bear (engine bear + JV fix + 16.2% margin + 25% tax): 2,918p; with HUL at market 2,546p. The track record shows multi-year promises missed (20% margin by 2020; USG range FY18-20), the kind the Foods deal rests on.

PM view: PM to respond.

Sources

- Unilever FY25 Form 20-F (SEC accession 0000217410-26-000007, filed 12 Mar 2026): balance sheet p.131, cash flow p.132, notes 2 (pp.137-138), 4B, 11 (p.158), 13-14 (pp.159-160), 15B-15C (pp.162-164), 17A (p.174), related undertakings p.194; XBRL.
- Unilever FY25 results 6-K (0001654954-26-001155, 12 Feb 2026); H1 2026 results 6-K (0000217410-26-000057, 28 Jul 2026); FY17-FY24 results 6-Ks (guidance record); Total Voting Rights 6-Ks (0001654954-26-008017, 0001654954-26-007194).
- Foods/McCormick Form 425 investor presentation (0000217410-26-000027, 31 Mar 2026) and call transcript (0000217410-26-000032); McCormick 10-Q to 31 Aug 2026 (0000063754-26-000329), note 2; TMICC Form 424(b)(4) (0001104659-26-042683, 13 Apr 2026).
- FRED: IRLTLT01DEM156N (Aug 2026), BAMLC0A3CA, DEXUSEU, DEXUSUK, DEXINUS (9 Oct 2026). Damodaran betaGlobal.xls (5 Jan 2026, PM upload).
- Yahoo Finance (non-filing): ULVR.L, ^FTSE, MKC, MICC.AS, HINDUNILVR.NS and peer prices (13 Oct 2026). Peers: SEC EDGAR XBRL (PG, CL, KMB); Yahoo (Reckitt, Beiersdorf, L'Oreal, Henkel).
- PM decisions: briefs/ULVR.yaml, docs/phase5/brief-unilever.md. Agent outputs: runs/ULVR/2026-10-14/ (data, risk, fundamentals, valuation, bear).